NTCA BENEFITS
THE RURAL BROADBAND ASSOCIATION

2025
Summary Plan Description
for the
Retirement and Security Program
of NTCA and Its Members

TABLE OF CONTENTS

PART A **PAGE**

Part A

Summary Plan Description for Participants in the Retirement and Security Program For Employees of NTCA And Its Members

PLAN SPONSOR
National Telecommunications Cooperative Association (NTCA)
4121 Wilson Boulevard, Suite 1000
Arlington, VA 22203
(703) 351-2000

EMPLOYER IDENTIFICATION NUMBER: 52-0741336

PLAN NUMBER: 333

PLAN YEAR: Calendar year

TYPE OF PLAN: Defined benefit pension plan

TYPE OF PLAN ADMINISTRATION: Contract administration

COMMITTEE (Program Administrator)

Thomas Preston
Duo County Telephone Cooperative
P.O. Box 80
Jamestown, KY 42629

Kevin Beyer
ACIRA, LLC
P.O. Box 156
Chokia, MN 56221

Jimmy Todd
Nex-Tech
P.O. Box 158
Lenora, KS 67645

Crystal Morley
Lakeland Communications
P.O. Box 40
Milltown, WI 54858

Candace Wright
Blue Valley Telecommunications
1559 Pony Express Hwy
Home, KS 66438

Holly Utke
Dakota Central Telecom. Cooperative
P.O. Box 299
Carrington, ND 58421

Dustin Durden
Pineland Telephone Cooperative
P.O. Box 678
Metter, GA 30439

Karen Jackson-Furman
WK&T Telecommunications
100 WK&T Technology Dr., Bldg. 100
Mayfield, KY 42066

You may contact the Committee in care of Services Management Corp.

CONTRACT ADMINISTRATOR
Services Management Corp. (SMC)
Corporate Office:
4121 Wilson Boulevard, Suite 1000
Arlington, VA 22203-1801
(703) 351-2000

30 Town Square Blvd., Suite 300
Asheville, NC 28803
(828) 252-9776

CUSTODIAL TRUSTEE
State Street Bank and Trust
Master Trust Division
P.O. Box 1992
Boston, MA 02105-1992

AGENT FOR SERVICE OF LEGAL PROCESS
Shirley Bloomfield
Chief Executive Officer
NTCA–The Rural Broadband Association
4121 Wilson Boulevard, Suite 1000
Arlington, VA 22203-1801
(703) 351-2000

In addition, service of legal process may be made upon the Committee.

Introduction

The NTCA Retirement and Security Program (also referred to as the "R&S Program" or "Program") is a pension plan in which your employer (referred to as either "employer" or "Member" in this document) participates. It is primarily designed to provide benefits to you and all other Participants at retirement. These benefits, together with Social Security and your other personal savings, are intended to replace income from employment. The goal is to help you maintain your desired standard of living during retirement. However, the Program is not an employment contract and does not create a right to continued employment.

The Program also provides pre-retirement death benefits to survivors of Participants who die before retirement. For Participants who die after retiring, the Program provides retirement options (such as joint and survivor annuities) offering a level of continuing income to surviving spouses or other beneficiaries.

The National Telecommunications Cooperative Association (NTCA) has sponsored the Retirement and Security (R&S) Program since 1959. Currently, the R&S Program is the main pension plan for approximately 335 employers who are members of NTCA. It covers almost 10,000 active employees and pays monthly benefits to over 2,500 retirees and survivors. Program assets are approximately $1.8 billion, placing the Program among the 500 largest pension plans in the United States.

The following pages explain, in question-and-answer format, the major features of the R&S Program. Capitalized words in the text are usually words defined in the Program Specifications. **The Specifications contain the official, governing provisions which describe Program benefits. This booklet is a summary of these provisions. If there are any differences between this document and the Specifications or verbal statements made by your employer, the Contract Administrator, or the Plan Administrator the Specifications govern.** You can review the Specifications at your employer's office.

Please keep this booklet with your important documents, so you will have it for reference when you have a question.

Section I
Eligibility and Participation

I-1. Who can participate?

You can participate in the Program if:

- your employer classifies you as a common-law employee (for example, your employer reports your wages on Form W-2), or if you are a self-employed member of a Limited Liability Company, and
- your employer is a member of NTCA and has adopted the R&S Program ("Participating Member") and provided you have satisfied the eligibility requirements adopted by your employer. These requirements are described in Q&A I-2 and I-3 below. In addition, your employer may require that you make an employee contribution to the Program to participate. An employee contribution required by your employer cannot exceed the contribution made by your employer. Your Part B describes the eligibility requirements your employer has adopted, including the rate of any required employee contribution.

Employees not eligible to participate include independent contractors, leased employees, and non-resident aliens with no U.S. sourced income.

Union employees are only eligible if coverage is provided under the terms of a collective bargaining agreement.

I-2. When can I participate?

You are eligible to participate after you meet the eligibility requirements elected by your employer. These eligibility requirements include the following:

- Your employer may require you to meet a waiting period before you are eligible to participate. The waiting period may be three months, six months, one year, or two years.
- Your employer may require you to reach a specified age (the maximum being 21) to participate.
- Your employer may require you to be scheduled to work or complete 1,000 Hours of Service during a "Year of Service" to participate.

Your Part B states whether your employer has elected to impose a waiting period, Hours of Service requirement, and/or age requirement.

Meeting the waiting period is based on your eligibility service. Eligibility service begins the date your employment begins (full-time, part-time, temporary, or seasonal) for a Participating Member or a member of the Participating Member's controlled group. (See Q&A II-4 for the meaning of controlled group.) Eligibility service generally includes all periods of employment with your employer, its controlled group, or another Participating Member.

If you leave employment before you meet the waiting period and then return to work with that Participating Member or any other Participating Member, your prior service will be combined with your new service to determine when you meet the waiting period. In addition, if you return to service with a Participating Member within one year of your termination date, periods when you are not employed by a Participating Member will count towards meeting the waiting period.

You may, depending on certain circumstances, receive credit for each Hour of Service with a predecessor employer. A predecessor employer is an employer acquired by your employer.

Once you are eligible to participate in the R&S Program, you can enter the Program the first of the month following your date of rehire if you are rehired by any Participating Member. In other words, once you have satisfied any waiting period and Hours of Service requirements and are eligible to become a Participant, you will always be considered eligible to participate, provided you work for a Participating Member and that Participating Member has not adopted the Soft Freeze provision (see Q&A I-6).

These rules are more favorable to employees than many other plans, which typically impose "break-in-service" rules that cause a loss of prior service credit after an absence of several years.

I-3. What Hours of Service requirement must I meet to participate?

An employer may require you to be scheduled to work or complete up to 1,000 Hours of Service during a "Year of Service" to be eligible. A Year of Service is the 12-month period beginning on your date of employment (or, if it applies, your date of reemployment).

If you do not meet the Hours of Service requirement during your first Year of Service, then the period used to determine the Hours of Service requirement shifts to Plan Years, beginning with the first Plan Year beginning after your date of employment (or, if it applies, your date of reemployment). Your Part B indicates the hours your employer has elected for you to begin participation.

If your employer has elected an Hours of Service requirement, you will be considered to have met the Hours of Service requirement, even if you have not been employed for a full Year of Service. Alternatively, you will be treated as having met the 1,000 Hours requirement if you are scheduled to complete 1,000 Hours during a Year of Service. After you are credited with, or treated as having been credited with, the required number of hours, you will be eligible to participate, provided you have completed the waiting period described in Q&A I-2.

Once you have satisfied the Hours of Service and waiting period requirements for an employer, you will continue to be eligible to participate in the Plan even if you work less than the Hours of Service requirement in later years, although you will not accrue a benefit in a plan year in which you were not scheduled or do not complete 1,000 Hours of Service.

You will be credited with an Hour of Service for:

- periods in which you are paid, or entitled to payment, for your services at your Participating Member, a predecessor employer acquired by your employer, the FCC, or the REA;

- periods for which you are entitled to be paid for reasons such as vacation, holiday, illness, incapacity (including disability), layoff, jury duty, maternity or paternity leave, military duty, or leave of absence. No more than 501 Hours of Service may be credited under this rule for any single, continuous period of absence, except that you will be credited with Hours of Service for your entire absence if you are absent because of military duty and you have reemployment rights under Federal law and return to employment within the time-period specified by Federal law; and

- periods with respect to which back pay is either awarded or agreed to by your Participating Member.

I-4. When does participation begin?

Once you meet the eligibility requirements, you will enter the Program on the next following "Entry Date". The Entry Dates are January 1, April 1, July 1, and October 1.

If your employer changes its eligibility requirements and you have not met those requirements as of the effective date of the change, your eligibility for participation is based on the new requirements. This may result in either an earlier or later eligibility date.

I-5. When will I stop earning benefits under the R&S Program?

You will stop earning additional R&S Program benefits in the following circumstances:

- When you stop working for a Participating Member.

    - If you previously reached the Program's early retirement age and elected to receive benefits, you will not accrue additional benefits if you return to work for the same employer or any other Participating Member.
    - If you previously met the Program’s early retirement age and received a mandatory distribution because the value of your R&S Program benefit was less than $5,000 and you return to work for a Participating member you may accrue additional R&S Program benefits.
    - If your Program benefit is based on employment with two or more employers, you may accrue additional benefits under the Program while receiving a distribution of your benefits, provided the benefits being distributed are from employment with an employer in a different controlled group than the employer where you are currently accruing additional benefits.
    - Under certain circumstances if you stop working because you become disabled (as defined in the Program Specifications), you may be eligible to continue earning R&S Program benefits during your period of disability (see Q&A II-9).

- When you stop making required employee contributions. If your employer requires employee contributions, you may stop making contributions as of the first day of any month. If you do, your employer will also stop making contributions on your behalf, and you will not earn any additional benefits. You may later resume making required employee contributions (and earn additional benefits under the R&S Program) by notifying your employer who will, in turn, notify SMC. In this case, your employer will resume making contributions on your behalf. Your re-entry date will be the first day of the month coincident with or following the date you elect to resume making contributions.

- When you do not meet the 1,000 Hours of Service requirement, if the 1,000 Hours of Service requirement has been adopted by your employer. See your Part B to determine if your employer requires you to meet this requirement.

- When your employer stops participating in the R&S Program, you will not earn additional benefits. (See Q&A IX-2).

- When you die, contributions and participation stop at the end of the month of your death.

- When you earn the maximum benefit available under Federal law (see Q&A II-15), you will not earn additional benefits.

- When you elect "quasi-retirement" at age 65 (see Q&A V-4), you will not earn additional benefits.

- When your employer has chosen to exclude highly compensated employees (HCEs) from participation, and you meet the definition of an HCE for the plan year. Your Part B indicates if HCEs are excluded from Plan participation.

I-6 Can a Participating Member freeze participation of its employees?

Yes.

- For Plan Years beginning January 1, 2019, a Participating Member Company can choose to exclude employees hired or rehired after the 1st day of any Plan Year ("Soft Freeze Date") if they have not already satisfied the eligibility requirements.

- For Plan Years beginning January 1, 2021, a Participating Member Company can choose to exclude employees hired or rehired after the 1st day of any month ("Soft Freeze Date") if they have not already satisfied the eligibility requirements.

  The Participating Member Company must sign an Adoption Agreement to establish the Soft Freeze. Your Part B states if your employer has elected the Soft Freeze.

  Generally, if you previously participated, terminate employment, and are then rehired within twelve months by your employer and that Participating

Member Company has adopted the soft freeze you will not be frozen out of participation in the Program.

Section II
Calculating Normal Retirement Benefits
(Detailed Examples of Benefit Calculations in Section XI)

II-1. What does "normal retirement benefit" mean?

Your "normal retirement benefit" earned in the R&S Program is the benefit you will receive at your "normal retirement date", which is the first day of the month containing your 65th birthday. Your normal retirement benefit is expressed as the monthly amount paid to you in the form of a 10-years certain and life thereafter annuity. An "annuity" is a regular periodic payment made for a specified period of time, usually for life under the R&S Program.

If you choose to receive benefits before your normal retirement date (early retirement) or after your normal retirement date (late retirement), the monthly amount you receive may be less than or more than the amount of your normal retirement benefit. This is because monthly payments are adjusted so that the value of the total benefits paid as of any date are actuarially equivalent, regardless of when benefit payments begin. See Section IV for information on early retirement and Section V for information on late retirement.

If you choose to receive benefits in a payment form other than the 10-years certain and life thereafter annuity, the monthly amount you receive may be increased or decreased, depending on the form of payment. This is because the monthly payments are adjusted so the total benefits payable under any of the available forms of payment are actuarially equivalent. Actuarial equivalence is based on certain interest rate and mortality assumptions applied by the Program's actuary.

The optional types of payment you may select, and the actuarial adjustments for those options, are described in Section VI. If you are married on your date of retirement, you will not be able to choose a 10-years certain and life thereafter annuity or any option other than a Joint-and-Survivor annuity, unless your spouse consents to the election (see Q&A VI-5 for a more detailed explanation).

II-2. How is my normal retirement benefit determined?

Your normal retirement benefit is the total of the normal retirement benefit you have earned from your active participation in the R&S Program and certain other benefits, such as fixed benefits, supplemental benefits, and benefit upgrades. These other benefits are described in Q&A II-9 through II-13 and in Section XI.

Your normal retirement benefit is sometimes described as a "dynamic" benefit because it increases as your average Compensation increases.

II-3. What is the formula for determining my normal retirement benefit?

Generally, your normal retirement benefit is the product of your "High-5 Compensation" (see Q&A II5), the company-elected benefit formula (see Q&A II-6), and the number of years of participation.

In some circumstances, other benefits such as minimum benefit, top heavy benefit, fresh start benefit, historic benefit improvements, and fixed or dynamic benefit retroactive purchase benefits may apply. Generally, each Participant receives an annual benefit statement that will show the estimated total retirement benefit as of the end of the Plan Year.

II-4. What is Compensation or Effective Salary?

Compensation for calculating R&S Program contributions includes:

- base pay,
- overtime,
- commissions and bonuses.

Also included are:

- amounts contributed to a cafeteria plan,
- amounts contributed to a 401(k) plan,
- amounts contributed to a non-qualified deferred compensation plan,
- qualified transportation fringe benefits,
- certain forms of imputed income from taxable fringe benefits, such as personal use of a company vehicle.

The value of employer-provided group term life insurance over $50,000 is not considered Compensation.

Compensation paid after termination of employment, called "post-termination Compensation", is only considered Compensation if, absent the termination of employment, the Compensation would have been paid to the former employee and is paid within the later of 2½ months or the end of the plan year after the employee's termination.

Post-termination Compensation used to determine R&S Program contributions does not include payments for earned sick, vacation, other leave, or severance.

Compensation paid to a former employee who left employment for qualified military service, as well as long-term disability payments paid to an employee or former employee, are included in Compensation only if the employee's employer has elected to allow such employees to continue participation during a period of qualified military service or long-term disability.

There are some special definitions of Compensation for certain Participants:

- *Employees of LLCs* – For Participants who are employed by Limited Liability Companies (LLCs), "Compensation" is the "earned income" (described in IRC section 401(c)(2)) received from the Participating Member.

- *Union Employees* – An employer may elect in the R&S Program Adoption Agreement to base contributions for collectively bargained employees on Effective Salary. Effective Salary means the annualized regular salary of the Participant and does not include any overtime, bonuses, commissions, or similar items, but does <u>include</u> pre-tax 401(k) contributions, cafeteria plan contributions, and contributions to a non-qualified deferred compensation plan adopted after 1986 by a tax-exempt employer. A Participant's Effective Salary is established for an entire year, in accordance with administrative procedures and is not adjusted during the year for changes in the Participant's compensation.

- *Highly Compensated Employees* – If your employer elects in the Adoption Agreement, distributions of deferred compensation, including income attributable to the cost of insurance protection from or under a split dollar plan or arrangement, can be excluded from Compensation.

Your Compensation for benefits purposes includes all Compensation received from any member of your employer's controlled group, whether or not the controlled group member participates in the R&S Program. The controlled group of your employer includes your employer and (a) any organization which owns or controls 80% or more of the stock or voting power of your employer, (b) any organization which your employer owns or controls 80% or more of the stock or voting power, (c) any organization associated with your employer because the same five or fewer individuals own 80% of the stock or voting power of your employer and the other organizations, and (d) any organization that is a member of an "affiliated service group" with your employer.

Limit on Compensation. Since 1989, Compensation that may be considered under the R&S Program has been limited by IRS regulations. These limits are shown in the following chart for the period 2013-2024.

2013	$255,000	2019	$280,000
2014	$260,000	2020	$285,000
2015	$265,000	2021	$290,000
2016	$265,000	2022	$305,000
2017	$270,000	2023	$330,000
2018	$275,000	2024	$345,000

The Compensation limit is periodically changed by the IRS to reflect cost-of-living adjustments.

II-5. How is my "High-5 Compensation" determined?

Unless your employer has elected to define Compensation as Effective Salary (see Q&A II-4), your High-5 Compensation is the average of your five highest years of Compensation (or earned income in the case of Participants who are employed by Limited Liability Companies) in the last 10 plan years of your R&S Program participation.

If you have been a Participant for less than five years, your High-5 Compensation is the average of your Compensation for plan years you have been a Participant.

If your High-5 Compensation is based on Compensation earned during less than a full plan year, High-5 Compensation is calculated by dividing the total Compensation during months your Compensation was considered under the Program by the total number of such months, to determine your average monthly salary. Then, this average monthly amount is multiplied by 12 to determine an annualized Compensation amount. This situation could occur if you were not eligible to participate in the Program for a full plan year.

In general, these same rules apply to determine Effective Salary, if your employer has elected to define Compensation as Effective Salary (for collectively bargained groups only), except that the special rule that applies to plan years when you do not have Effective Salary for the entire plan year will not apply and, instead, only the Effective Salary you actually earn will be considered.

There are certain limits on "High-5 Compensation". The Compensation used in the High-5 Compensation average for each of the last three years may not exceed the Compensation for the immediately preceding year (assuming the preceding year's Compensation includes a full year of employment) by more than the greater of: (a) 10% or (b) 6% plus the increase in the consumer price index for the prior year (with a maximum of 15%). This cap is applied to compensation before the highest 5 years of Compensation are selected. Certain exceptions apply to this limitation.

> *For example, assume a Participant is age 60, has $50,000 in Compensation in 2022 and retires on December 31, 2024. If the Participant's Compensation for 2023 increases to $70,000, that year's Compensation will be limited (assuming 4% or less inflation) to 110% of his2022 Compensation, i.e., $55,000 in calculating his benefit at retirement in 2024.*

II-6. What is a "Benefit Formula"?

The benefit formula is a major component in determining a participant's R&S Program benefit. Benefit formulas are percentages which represent the portion of high-5 Compensation the participant has earned as a benefit for each year they participate in the plan at that level.

Part B of this SPD shows the benefit formula your employer has adopted.

II-7. What is an "accrual" and how does it relate to the benefit formula?

Accruals are values that are used in the calculation of the R&S Program participants' benefit. The accrual is calculated by dividing the benefit formula (see Q&A 11-6) by the applicable year's actuarial factor. The program's actuarial factors going back to 1987 are displayed below.

1987 – 1995	0.2105
1996 – 2007	0.2168
2008 – 2013	0.2091
2014 – 2016	0.1855
2017 – 2021	0.1531

A benefit factor of .1531 that is used for administrative purposes, became effective after 2021.

> *For example, a Member Company adopted a 1.8% benefit formula for 2022, and the employee participates in the R&S Program for one year under this benefit formula. The employee's pension record will be credited with 0.11757 accruals for the year (1.8% benefit formula / .1531)*
>
> *Expressed another way, a participant needs to be credited with 0.11757 accruals in one year to accrue a 1.8% benefit formula for the year.*

II-8. What is "Retirement Service"?

Retirement Service is measured in years. You will be credited with 1/12 of a year of Retirement Service for each calendar month you have an "hour of service" (see Q&A I-3), except for months when you were eligible to participate in the R&S Program but did not make the required employee contributions or months for which you received a total distribution of your basic benefit. You may be credited with Retirement Service when past service credit is purchased on your behalf. No period of service may be counted more than once for crediting Retirement Service and benefit accruals.

If your employer has elected a 1,000 Hours of Service requirement, you will not receive any accruals or credit for Retirement Service for a year when you do not meet the 1,000 Hours requirement, regardless of the number of months you work during the year.

II-9. Will I continue to earn benefit accruals if I stop working because I am disabled?

You will continue to earn benefit accruals in the R&S Program during a period of total disability only if:

- your employer provides disability benefits through the NTCA Group Health Program (GHP), has elected waiver coverage providing for the payment of disability contributions to the R&S Program, and you are a participant in the NTCA GHP Long-Term Disability Plan on the date of disability, and/or

- your employer has elected in its Adoption Agreement to make contributions for disabled Participants not covered under the NTCA GHP (subject to you making mandatory employee contributions, if required).

If you qualify for disability benefit accruals, employer and required employee contributions may continue to be made based on the benefit formula in effect at the time of your disability. Disability benefit accruals are based on your estimated Compensation or Effective Salary. You cannot elect to begin making employee required contributions after your period of disability begins to receive the employer contribution to the R&S Program. This continuation of benefit accruals is subject to IRS limits on benefit accruals. Disability benefit accruals will cease if you elect a total distribution of your R&S Program benefit or if you are no longer disabled.

You will be considered "disabled" based on the following rules:

- If you have disability waiver coverage under the NTCA GHP, you will be considered disabled if you have a Total Disability as defined in the NTCA GHP Specifications.
- If your employer has disability insurance other than the NTCA GHP, you will be considered disabled if you meet the definition of disability under that plan.
- For all other Participants, you will be considered disabled if you are unable to engage in any substantial gainful activity because of a medically determinable physical or mental impairment that may reasonably be expected to be of longstanding and indefinite duration.

II-10. In addition to the normal retirement benefit earned, may an employer purchase additional benefits on my behalf?

Yes, in certain situations. For example, an employer that recently joined the R&S Program may purchase benefits for its employees for their service with that employer prior to the date the employer officially joined the R&S Program. These benefits are referred to as "prior service benefits".

Employers may also elect to provide an Early Retirement Incentive Benefit to certain employees. A Participating Member may offer an Early Retirement Incentive Benefit if certain IRS rules are met. In this case, employees, who meet certain age and/or service requirements, as determined by the Participating Member and the R&S Program, may be eligible for an Early Retirement Incentive Benefit prior to Normal Retirement Age, even if they are not eligible for the Rule-of-85 feature.

Purchasing prior service benefits or an Early Retirement Incentive Benefit is an employer choice, and an employer has no obligation to take this action. Strict requirements must be met to ensure the purchase of additional benefits is non-discriminatory to employees.

II-11. Does the Program allow rollover contributions?

Yes. You must be a Participant in the R&S Program and choosing to retire at an early, normal, or late retirement date. These contributions are applied to purchase additional retirement benefits. Eligible distributions include distributions from 401(a), 401(k), 403(a), 403(b), 457(b) and SEP Plans or the portion of an IRA otherwise includable in gross income.

Rollover contributions are subject to IRS and R&S Program requirements, including the requirement that you transfer the payment either through a direct rollover to the Program or within 60 days of receipt of the prior plan distribution.

The Program also allows rollovers of eligible distributions from the NTCA Savings Plan to the R&S Program for individuals who are Participants in both plans and their spouses. If you receive a distribution of your R&S Program benefits, including any employee contributions, when you terminate employment and later return to work for a Participating Member, you may redeposit all or a portion of the original distribution back into the R&S Program. This redeposit may be made with contributions from an eligible rollover distribution. Redeposit is not available to retired Participants, age 55 or older. This redeposit includes interest (as determined under the R&S Program) from the date of the original distribution, and the redeposit must be made before the end of the fifth Plan Year following re-employment. If you make such a redeposit, the portion of your retirement benefits from the amount of the redeposit will be restored.

II-12. Are there other ways I become entitled to benefits under the R&S Program?

Additional retirement benefits may be provided in the following situations.

- Plan Merger – An employer may have sponsored a separate pension plan before it joined the R&S Program and elect to transfer the responsibility for its employees earned benefits (and the related plan assets) from the separate plan to the R&S Program. Plan mergers must meet specific requirements. There is no requirement that an employer merge any prior pension plan with the R&S Program.

- Internal Revenue Service (IRS) Required Pension Benefits – The IRS requires that an employer provide a minimum level of retirement benefits when the employer is considered "top heavy" under IRS rules. "Top heavy" means at least 60% of the total benefits provided by an employer are provided to higher-paid officers and owners (if any) of the employer. The IRS-required minimum benefit, equal to 2% of the Participant's High-5 Compensation for each year of participation (after 1983) up to a maximum of 10 years (that is, 20% of High-5 Compensation), must be provided to a Participant who is not an officer or owner and who has completed at least 1000 hours of service for the year, if this minimum benefit is greater than the total regular benefit earned by the Participant.

  Unless your employer elects differently in its Adoption Agreement or has adopted the soft-freeze, if you participate in both the R&S Program and the NTCA Savings Plan and the plans are top-heavy, the top-heavy minimum benefit will be made under the R&S Program at the time you terminate employment. Whether or not you will be credited with additional top-heavy benefits will be determined only at the time you terminate employment.

II-13. Are there special rules for benefits earned in the year of retirement?

Your Part B indicates the election your employer has made for benefits you earn in the year of retirement. There are three options.

(1) You will receive full credit (both employer and employee contributions) for the entire year of your retirement as if you had worked to the end of that year if you make any required employee contributions for the entire calendar year and you are a non-highly compensated employee.

(2) You will receive full credit for the year of your retirement, if you make any required employee contributions for all months prior to retirement and you are a non-highly compensated employee.

(3) You will receive credit only for the months you work (and make any required employee contributions).

Contributions are the greater of the estimated Compensation or the actual Compensation for options (1) and (2). Your actual Compensation is used to calculate contributions under option (3). For Participants retiring on December 31, actual Compensation is used in all cases. For collectively bargained groups which elect the Effective Salary definition of Compensation, the amount of the employer and required employee contributions (if any) are calculated using Effective Salary.

II-14. Is there a limit on the maximum benefits I may earn in the R&S Program?

Yes. Under Federal law governing IRS qualified plans, such as the R&S Program, a Participant cannot earn an annual pension of more than $275,000 annually, or $22,917 monthly, in 2024 (IRS Code Section 415). This limit may be adjusted to consider many factors, including:

- employee contributions,
- your actual age at retirement,
- how you choose to receive benefits, and
- if you have earned benefits under another defined benefit retirement plan maintained by your employer or a controlled group member.

In addition, the maximum annual pension you may earn may not exceed 100% of your average Compensation for your "high-3" years before retirement. These two limits apply to pre-retirement death benefits as well as earned retirement benefits.

II-15. Will my retirement benefits under the R&S Program be reduced or offset for any Social Security I receive?

No. This is another advantage of the R&S Program. Many other pension plans promise certain levels of benefits but reduce or offset these promised benefits paid by a participant's Social Security benefits. Under the R&S Program, your Social Security benefits will be in addition to your R&S Program retirement benefits, providing you with greater total retirement income.

II-16. I recently returned from military service. How will my Program benefits be affected?

The Uniformed Services Employment and Reemployment Rights Act of 1994 (USERRA) provides rights to employees returning from "qualified military service" within the statutory time-period. An employee will:

- be treated as not having incurred a break in service because of qualified military service,

- be credited with service with the employer for each period of qualified military service,
- be entitled to earned benefits contingent on the making of any required employee contributions, and
- have any required employee contributions made by his Participating Member, if the employer elects in its Adoption Agreement, provided the employee is a non-highly compensated employee. If the employer does not elect to fund such contributions, the returning employee may make up the employee contributions within the lesser of (i) three times the length of qualified military service or (ii) five years following the date of such reemployment. If the employee makes the required employee contributions, the employer must make up the missed employer contributions.

Section III
Termination of Employment Before Retirement

III-1. Will I lose my benefits if I terminate employment before retirement?

No. Another valuable feature of the R&S Program is once you have earned retirement benefits, you cannot lose them. You are always fully "vested" in your R&S Program benefits. Many other pension plans require an employee to complete as many as seven years of service before becoming fully "vested" in their retirement benefits.

If your Compensation decreases for several years prior to the termination of your active R&S Program participation, thereby decreasing your "High-5 Compensation", the amount of your benefit will not decrease. Your retirement benefit will not be less than the largest year-end benefit payable to you upon separation from service prior to your normal retirement date.

III-2. If I terminate employment prior to retirement, how is my normal retirement benefit determined?

Your retirement benefit is based on your participation in the R&S Program up to the date of your termination. Unless you later return to work for a Participating Member, your High-5 Compensation will always be determined on your Compensation history up to the date of your termination. Similarly, unless you return to work for a Participating Member, your "accruals" will be based only on participation up to your date of termination.

III-3. When will my R&S Program benefits be paid if I terminate employment prior to retirement?

Generally, your R&S Program benefit will be paid as soon as administratively possible upon receipt of a completed request for a distribution from the Program, subject to the following rules:

- If the present value of your accrued benefit is $1,000 or less, it will be paid as a lump sum distribution as soon as administratively possible after you terminate employment (generally within 60 days). No further benefits will be payable in the future. You can elect to have this distribution paid to you directly or rolled into another employer’s qualified plan or any IRA of your choice. If you do not make a timely election, it will be paid directly to you. This distribution requires your consent if you terminate employment due to disability (as defined under the R&S Program).

- If the present value of your accrued benefit exceeds $1,000 but does not exceed $5,000, and you do not elect to have the amount paid directly to you or to an IRA or another employer’s qualified plan, it will be automatically rolled into a Millennium Trust Company IRA as soon as administratively possible after you terminate employment. This IRA is designed to preserve principal and provide a reasonable rate of return and liquidity. Millennium Trust Company will assess an annual maintenance fee of $25, as well as a $15 fee for taking a total distribution out of the IRA. Normal fund expenses and brokerage commissions apply if you direct the investment of your IRA.

In addition, a $15/year fee will apply for paper statements (versus electronic statements).

- If you terminate employment before retirement and the present value of your accrued benefit is over $5,000, you may defer payment of your Program benefits until your normal retirement date (age 65). If you do not file a distribution request according to Program procedures within 120 days of your normal retirement date, your Program benefit will be distributed in the appropriate form described in Q&A VI-3 or 4, commencing as of your normal retirement age.

III-4. May I withdraw my employee contributions, if any, when I terminate employment?

Yes. If you have made employee contributions to the R&S Program, you may withdraw those contributions, with interest, when you terminate employment. If you make this election, an actuarial adjustment will be made to reduce (and could possibly eliminate) the value of your remaining benefits in the R&S Program. If you are married, the written, notarized consent of your spouse is needed before you can withdraw your employee contributions.

III-5. How is the benefit earned from mandatory employee contributions determined?

IRS regulations specify how to calculate the value of the portion of your retirement benefit from your required employee contributions. The R&S Program uses the "Minimum Benefit Method" for this purpose. Prior to any distribution, the Program calculates your minimum benefit from required employee contributions to ensure that the employer-provided portion of your earned benefit meets the minimum benefit requirement. If the employer-provided portion of the earned benefit does not meet the minimum benefit, your employer is required to make additional contributions to fund a minimum benefit.

III-6. If I terminate employment and elect a single sum payment, will the payment equal the amount of my employee, if any, and employer contributions to the Program?

No. The R&S Program is a defined benefit plan. As a defined benefit plan, your benefits are determined using a formula that takes into consideration your age, High-5 Compensation, and annual accruals. Your retirement benefit is calculated as an annuity beginning at normal retirement age. The single sum benefit is the present value of this future annuity (see Q&A II-3).

III-7. What other options do I have for receiving my R&S Program benefits if I terminate employment before retirement?

If you terminate employment before retirement and have earned an R&S Program benefit with a present value greater than $5,000, all distribution options available to any Participant in the Program are available to you.

If you receive a distribution of your R&S Program benefits, including any employee contributions, when you terminate employment and later return to work for a Participating Member, you may redeposit all or a portion of the original distribution back into the R&S Program. This redeposit may be made with contributions from an eligible rollover distribution. Redeposit is not available to retired Participants, age 55 or older. This redeposit (payable by personal check or rollover) includes interest (as determined under the R&S Program) from the date of the original distribution, and the redeposit must be made before the end of the fifth Plan Year following re-employment. If you make such a redeposit, the portion of your retirement benefits from the amount of the redeposit will be restored.

III-8. If I die will my termination of employment before retiring affect the amount of any benefits payable to my survivors if I die?

It could, particularly if your death occurs after you terminate employment but before you retire (see Q&A VII-2 and VII-3). As noted in Section VII, the R&S Program usually pays more generous death benefits when a person is participating in the R&S Program and accruing benefits at the time of their death.

III-9. May I roll over my R&S Program distribution to an IRA or another retirement plan?

You may roll over all or a portion of a single sum distribution into an IRA, a SIMPLE IRA (excluding an Education IRA), another tax-qualified plan (including a governmental 457(b) plan that agrees to separately account for such amounts), or into a 403(b) plan. If you choose to roll over your R&S Program benefit to another employer's tax-qualified plan or into an IRA, you will need to follow the directions of your new employer or the financial institution receiving your distribution. A surviving spouse who is your beneficiary or a former spouse who is an alternate payee under a qualified domestic relations order may roll over the benefit into such plans. A non-spouse beneficiary may directly roll over the benefit to an IRA that will be treated as an inherited IRA. You or your beneficiary may elect to roll over a distribution directly into a Roth IRA.

Section IV
Early Retirement

IV-1. When can I retire early and receive my benefits from the R&S Program?

The R&S Program defines "early retirement" as the first day of the month when you reach age 55, or on the first day of any following month up to the month you reach age 65. For certain employers providing an Early Retirement Incentive Benefit, the early retirement age may be before age 55. Your employer's internal personnel policies may define "early retirement" differently than the R&S Program. The R&S Program specifications determine how R&S Program benefits are paid.

IV-2. Will my benefits be reduced for early retirement and, if so, by how much?

Unless you qualify for unreduced benefits under "Rule-of-85" (see Q&A IV-3) or "Early Retirement Incentive (ERI) Benefits", your benefits will be reduced for early retirement if you elect to begin your benefit payments before age 65. For each month between the month you retire and the month you will reach age 65, your retirement benefit will be reduced by one-quarter of one percent (.25%). For each month your early retirement date precedes the first day of the month when you reach age 60, your retirement benefit will be reduced by an additional one-quarter of one percent (.25%).

> *For example, assume a Participant decides to retire at age 58 with a retirement benefit payable at age 65 of $1,000 per month and the Rule-of-85 does not apply. Since they elect to begin benefits at age 58, which is 84 months before age 65, there will be a reduction of .25% for each of the 84 months before age 65, resulting in a 21% reduction of their benefits. Since age 58 is 24 months before age 60, there will be an additional .25% reduction for each of the 24 months before age 60, resulting in an additional 6% reduction, for a total reduction of 27%. The retired Participant receiving benefits at age 58 will receive 73% of his age 65 retirement benefit, or $730 per month.*

IV-3. What is "Rule-of-85" and how do I know if I am eligible for this feature?

The "Rule-of-85" allows certain Participants to retire early (before age 65 but not before age 55) without a reduction in their earned benefits. To qualify for Rule-of-85 benefits, (1) the Participant's employer must elect this benefit provision (and make additional contributions) and (2) the Participant must meet the Rule-of-85 eligibility requirement.

To be eligible for Rule-of-85 benefits, you must be age 55 or older and the sum of the Participant's (1) age at retirement and (2) number of years of "Rule-of-85 Service" must equal or exceed 85. Your Part B indicates whether Rule-of-85 has been elected by your employer.

The definition of Rule-of-85 Service is different for an individual who became a Participant after December 31, 1987.

- *If you were a Participant on or before December 31, 1987*, you will be credited with one month of Rule-of-85 Service for each post-1981 Retirement Service month unless you were working for a Participating Member that did not elect the Rule-of-85 feature for that month, or your employer did not make the appropriate contributions for that month. For years before 1982, the percentage of your pre-1982 Retirement Service credited as Rule-of-85 Service will be the same percentage as calculated by dividing your post-1981 Retirement Service credited as Rule-of-85 Service by your total post-1981 Retirement Service.

- *If you first became a Participant in the R&S Program after 1987*, Rule-of-85 Service means:

  (a) Retirement Service with an employer funding the Rule-of-85 feature;

  (b) Retirement Service with an employer prior to the date you became a Participant, but only if your employer purchased retroactive benefit credit including the purchase of Rule-of-85 Service credit for such periods; and

  (c) certain military service which is immediately preceded and followed by service described in (a) and/or (b) above.

  Credit is given for pre-1982 Retirement Service in the same manner as for employees first becoming Participants before 1988.

Retirement Service includes service in the telecommunications industry (as explained in Q&A II-8). Telecommunications industry service includes employment with a rural operating telephone cooperative, a locally owned and operated commercial telephone company, an entity affiliated with a rural telephone cooperative or commercial telephone company, a company in the primary business of providing goods and services to the rural telecommunications industry, a rural utility company, and local, statewide, or regional telecommunications associations. Also, employment with organizations belonging to or eligible to join NTCA, service with the FCC or REA, related service within the telecommunications industry, and certain periods of military service is Retirement Service.

Section V
Late Retirement

V-1. Can I retire after age 65?

Yes. The R&S Program's late retirement provisions allow you to retire on the first day of any month following the month when you reach age 65. Your employer's internal personnel policies may define late retirement" differently than the R&S Program. The R&S Program Specifications determine how R&S Program benefits are paid. There are certain cases when the R&S Program is required to start paying your benefits before you actually retire. See Q&A V-3.

V-2. How are my benefits adjusted for late retirement?

If you retire late under the R&S Program, your benefits will be increased by one-quarter of one percent (0.25%) for each month you delay retirement after the 1st day of the month during which your 65th birthday occurs. If you continue working after your 65th birthday, your benefits may increase through additional accruals and a higher High-5 Compensation. In no event will your earned retirement benefit be less than your earned retirement benefit determined as of your Normal Retirement Date, increased by 5% per year until payments begin.

V-3. When must benefits be paid to me even though I am still working and have not yet retired?

If you are <u>not</u> a 5% or more owner of a Participating Member and continue working past age 73, you have a one-time option to elect to begin payments no later than April 1 following the calendar year you reach age 73. If the R&S Program does not receive an election to begin payments by March 1 following the calendar year when you reach age 73, the R&S Program will consider you as having elected to defer benefit payments until retirement. Similar required distribution requirements apply to participants attaining age 70½ or age 72 in years ending on or before December 31, 1950.

Notwithstanding the prior paragraph, if you are a 5% or more owner of a Participating Member, you must begin receiving a portion of your retirement benefit by April 1 following the calendar year you reach age 73.

V-4. Can I receive R&S Program benefits without retiring?

Yes. You may "quasi-retire" and begin receiving R&S Program benefits when you reach age 65, even if you continue to work for your employer. This "quasi-retirement" election means you are considered retired for R&S Program purposes and will earn no additional benefits as an active employee.

If your Program benefit is based on employment with two or more employers participating in the R&S Program, you may earn additional benefits from the R&S Program while receiving a distribution of your benefits, provided the benefits being paid are from employment with an employer in a different Controlled Group than the employer where you are earning additional benefits.

Section VI
Benefit Payment Options and Related Rules

VI-1. How will my retirement benefits be paid?

The R&S Program provides the following types of payment:

(a) 10-Years Certain and Life Thereafter Annuity.

(b) Life Only Annuity.

(c) If you are married, a Qualified Joint and Survivor Annuity, with 50% continuation.

(d) If you are married, a Qualified Joint and Survivor Annuity, with 75% continuation.

(e) If you are married, a Qualified Joint and Survivor Annuity, with 100% continuation.

(f) If you are married, a 50%, 75% or 100% Qualified Joint and Survivor Annuity, with the annuity payable guaranteed for 10 years following retirement and then payable at 50%, 75% or 100% to your spouse, if you die before your spouse.

(g) An annuity under options (a)-(e) as described in this Q&A supplemented by an amount (i.e., the estimated Social Security benefit beginning at either age 62 or your normal Social Security retirement age) between the time of retirement and either age 62 or your normal Social Security retirement age, as you may elect, and then actuarially reduced once that age is reached. This is the "leveling" option (see paragraph (f) to Q&A VI-5).

(h) A combination of a partial single sum and any one of the annuity options in (a)-(g) above.

(i) A Life Only Guaranteed Annuity Option.

(j) A single sum.

Subject to certain conditions, such as when an employer withdraws (or has previously withdrawn) from the Program, the Committee may purchase an insured annuity containing the above options to pay your benefits.

See Q&As VI-3 through VI-5 for additional information about these types of payment.

If the present value of your earned R&S Program benefit when you terminate employment does not exceed $1,000, you will be "cashed out" and receive a single sum payment. This distribution requires your approval if you terminate due to disability (see Q&A II-9). Instead of receiving a direct distribution, you may instruct the R&S Program to roll over the distribution to another qualified plan or IRA.

If your lump sum benefit exceeds $1,000 but does not exceed $5,000, and you do not elect to have the amount paid directly to you or to an IRA or another employer's qualified plan, it will be automatically rolled into an IRA (See Q&A III-3).

You cannot change your payment option once your benefit payments begin.

For example, if you are unmarried and choose to receive your earned benefits for 10-years certain and life thereafter, you may not change your original election to receive a Qualified Joint and Survivor Annuity even if you get married later. In that situation, you will be able to change your beneficiary, so your new spouse will receive the balance of the 10-years certain benefit.

VI-2. Who is considered a spouse for benefit purposes, such as spousal consent and rights to distribution?

A spouse is the legally married opposite-sex spouse or, effective September 16, 2013, same-sex spouse of the Participant.

VI-3. If I am unmarried when I retire, how will my benefits be paid?

Unless you choose another payment option, you will receive benefits in the form of a 10-years certain and life thereafter annuity. Under this option, you will receive benefits for your entire life, and if you die within 10 years after distributions began, the R&S Program will continue to pay the same retirement benefits for the remainder of the 10-year period to your designated beneficiary. When this payment option is made, no further adjustment is made to retirement benefits.

VI-4. If I am married when I retire, how will my benefits be paid?

Unless you and your spouse choose another payment option, Federal law requires benefits to be paid in a Qualified Joint and Survivor Annuity with at least 50% continuance to your spouse after your death. The survivor benefit is payable only to the person who is your spouse at the time of your retirement. If your spouse at the time of retirement dies before you, and you remarry, your new spouse will not be entitled to survivor benefits.

The Program allows a choice among several Qualified Joint and Survivor annuity options, as described below. The monthly payments under each payment type are different because they are adjusted so the total benefit payments under each payment form are actuarially equal.

(a) Life annuity with 50% continuation: If you are married, this is the form of payment you will receive if you do not elect another option. Under this form of payment, a monthly payment is made to you for your life. When you die, your surviving spouse will receive monthly payments equal to one-half of the payments made during your life, continuing for the remainder of the spouse's life.

(b) Life annuity with 75% continuation: This option is similar to the 50% continuation options, except the monthly benefit payable to your spouse, if she should survive you, will be 75% of the monthly benefit you were receiving prior to your death.

(c) Life annuity with 100% continuation: This option is similar to the 50% and 75% continuation options, except the monthly benefit payable to your spouse, if she survives you, will be the same as the monthly benefit you were receiving prior to your death.

(d) Life annuity with 50%, 75% or 100% continuation with a "guaranteed 10-years certain feature": This option allows you to choose an annuity with 50%, 75% or 100% continuation. Payments, either to your surviving spouse or other beneficiary, are guaranteed to continue at the level made to you during your life for 10 years after distributions begin. Following this 10-year period, your surviving spouse will receive the 50%, 75% or the 100% continuation benefit you elected.

(e) Guaranteed Annuity Option: This option allows you to choose an annuity with 50%, 75% or 100% continuation. If you and your spouse die before the equivalent of a guaranteed single sum value is distributed, then the remaining benefit amount will be paid in a single sum to your designated beneficiary.

VI-5. What other benefit payment options can I choose?

In addition to the types of payment described in Q&A VI-1, you may choose (with spousal consent if married) to receive benefit payments in other forms. The monthly payment amounts under these options are different because they are adjusted so the total benefits payable under each option are actuarially equal to the total benefits paid in a 10-years certain and life thereafter annuity form. The available options are:

(a) Life Only: You will receive a monthly benefit for your entire life. After you die, no further benefits will be paid to anyone else.

(b) Life annuity with a "guaranteed 10-years certain feature": You will receive a monthly benefit for your entire life. If you die within 10 years after distributions began, the R&S Program will continue to pay the same retirement benefits for the remainder of the 10-year period to your designated beneficiary.

(c) Life Only with Guaranteed Annuity Option: You will receive a life annuity and if you die before the equivalent of a guaranteed single sum value is distributed, then the remaining benefit amount will be paid in a single sum to your designated beneficiary.

(d) Partial Single Sum/Partial Annuity: You will receive a single sum payment of a designated portion of your R&S Program benefit and a reduced annuity under any of the annuity options.

(e) Single Sum: You will receive a single distribution for the entire present value of your benefits earned in the R&S Program. This single sum is determined using certain interest rate and mortality assumptions. The interest rate (which changes periodically) is determined as of the annuity starting date. A single sum may be rolled over into an IRA, or another qualified employer-sponsored retirement plan (see Q&A III-9).

(f) Leveling Option: Under this option, you may elect an annuity payment under any of the options, except the Guaranteed Annuity Option, and the annuity you elect will be supplemented until you reach either age 62 or your normal Social Security retirement age (whichever you elect) by an amount not more than your estimated Social Security benefit payable to you at either age 62 or your normal Social Security retirement age 65, 66, or 67, respectively. When the supplement ends, you will receive an actuarially reduced benefit that should, when added to your Social Security benefit, be approximately equal to the supplemented annuity you were receiving prior to age 62 or your normal Social Security retirement age, whichever you elected. If you elect the leveling option until age 62, your R&S Program payment will be reduced on the first day of the month following 30 days (one full month) after your 62nd birthday. If you elect the leveling option until your normal Social Security retirement age, your R&S Program payment will be reduced on the first day of the month coincident with or immediately following your normal Social Security retirement age.

For example, assume (1) your birth date is May 15, 1964, (2) you retire at age 57 with an age 62 "leveled" annuity, and (3) your estimated Social Security benefit at age 62 is $750 per month. Your payment will be $1,350 per month at age 57 ($600 from the R&S Program plus a $750 supplemental equal to your <u>estimated</u> Social Security benefit). The $1,350 monthly payment will be reduced to $557 beginning with the July 2026 pension payment. However, you will then be eligible (if you elect) to begin receiving your Social Security benefit, estimated to be $750 per month so that your combined benefit at that age ($557 from the R&S Program plus $750 from Social Security) will be approximately the same as the retirement benefit you had been receiving from the R&S Program since age 57. If instead, you elected an annuity "leveled" at your normal social security retirement age, your R&S Program payment will be reduced beginning with the June 2029 pension payment.

VI-6. Does my spouse have to agree to my benefit payment choice and how is that done?

If you are married, your spouse must consent to your election to receive benefits in a form other than a Qualified Joint and Survivor Annuity. You will need spousal consent even if you elect a partial single sum with the remaining portion of your benefit payable as a Qualified Joint and Survivor Annuity.

If your spouse's consent is required, it must be in writing, dated no more than 180 days before the date benefit payments begin, and be witnessed by a notary.

Once you decide to retire, you have at least 30 days to decide to waive the Qualified Joint and Survivor Annuity. You may waive this 30-day period when you make a payment election. Your benefit payments cannot begin before the end of a seven-day period beginning on the day after you receive the written explanation of the Qualified Joint and Survivor Annuity. You have the right to revoke a payment election until the date your benefits start.

If your spouse consents to your choice to receive benefit payments in a form other than a Qualified Joint and Survivor Annuity, your spouse cannot later revoke the consent. Your spouse's consent is only valid for that particular benefit payment choice. If you change your mind before your payments start, and you want to choose another option that requires your spouse's consent, you must obtain a new consent.

If you choose benefit payments in the form of a life annuity with a 10-years period certain and have designated a beneficiary other than your spouse, your spouse's consent is only valid for the beneficiary you have named to receive benefits in the event of your death.

VI-7. Can I assign my R&S Program benefits to another person?

You may not assign your R&S Program benefits to another person, except in certain situations involving divorce to meet orders issued by a domestic relations court. As part of a divorce, a judge may issue an order dividing your Program benefits between you and your former spouse. Federal law requires that the order meet certain requirements before the Program pays benefits. An order must be specific as to the division of benefits, not require benefits to be paid in any form not contained in the Program, and clearly identify the Program and the parties involved. The Program has developed procedures to process domestic relations orders. A copy of these procedures is available upon request and at no cost.

VI-8. Can I withdraw any portion of my R&S Program benefits prior to termination or retirement?

Generally, "in-service" distributions are not permitted in the R&S Program, including a payment of employee contributions. However, a Participant may "quasi-retire" at or after reaching age 65 and begin receiving R&S Program benefits while continuing to work. In addition, employees continuing to work after reaching age 73 will have a one-time opportunity to begin receiving payments. These rules apply even if your employer stops participating in the R&S Program.

VI-9. How will my R&S Program benefits be affected if I am Totally Disabled and my employment is terminated or if I am Totally Disabled and my employer withdraws from the Program?

When you terminate employment, you can request a distribution from the R&S Program. If you receive a distribution, benefit accruals you are receiving from your employer, or any required employee, contributions will end, and you will no longer earn additional benefits. If your employer withdraws from the R&S Program and you were Totally Disabled prior to this withdrawal, you will continue to earn benefits through contributions by your employer, but only if your employer elected to continue to make contributions on behalf of disabled participants.

VI-10.   What date is used to calculate my benefit?

A defined benefit program such as the R&S Program determines a participant's benefit payable as of a specific benefit commencement date. If a participant submits all necessary distribution forms in good order within 120 days from the date employment ends, then, generally, the benefit commencement date is the first of the month following the date employment ends. Otherwise, the commencement date will be the first of the month following the date all necessary distribution forms are received in good order.

Section VII
Death Before Retirement

VII-1. What payment options are available to a beneficiary who receives death benefits?

Death benefits may be paid in the following ways:

(a) Single sum – If this option is elected, the single sum will be 100 times the projected monthly benefit payable at your normal retirement age (or, if greater, the present value of the earned benefit). If the death benefit is valued at $5,000 or less, including the value of any rollover contributions made to the Program, it will automatically be paid in the form of a single sum.

(b) Life annuity – This provides an annuity with monthly payments for the beneficiary's life. The annuity will have a total actuarial value (considering interest assumptions and mortality factors) equal to the single sum described above. If the death benefit exceeds $5,000 and the beneficiary is not your estate, payments will be made as a life annuity unless the beneficiary elects a different type. If the beneficiary is not your spouse, benefits must start under this option as soon as practicable after your death. If the beneficiary is your surviving spouse, benefits may begin as soon as practicable after your death but may be delayed until you would have reached age 65.

(c) Period certain annuity – This option provides payments for a period certain not to exceed the lesser of (i) 10 years or (ii) the beneficiary's life expectancy. If the beneficiary dies before the end of the 10-year period, continuing payments will be made to a contingent beneficiary for the remainder of the 10-year period. If the beneficiary is not your spouse, benefits must start as soon as practicable after your death. If the beneficiary is your surviving spouse, benefits may begin as soon as possible after your death but may be delayed until you would have reached age 65.

(d) Partial annuity – A spousal beneficiary of a married Participant may choose to receive part of the death benefit in the form of a qualified pre-retirement survivor annuity, as described in Q&A VII-3 and the remainder under option (a) above. A non-spousal beneficiary who is your sole beneficiary may elect to receive the death benefit under option (a), (b), or (c) above, or any combination of these options, provided the beneficiary is not the estate.

If your beneficiary is your estate, the only form of distribution available is a single sum payment.

VII-2. If I die before retirement and have not elected to start receiving my benefits, and contributions are not being made to the Program for me when I die, what benefits will my surviving spouse receive?

Your surviving spouse will receive a qualified pre-retirement survivor annuity. If you die prior to age 55, this annuity is calculated as if you had terminated employment, survived until age 55, retired at that time with a Qualified Joint and Survivor Annuity with 100% continuance, and died immediately thereafter. If your spouse begins taking their benefit after you would have reached your earliest retirement age, the benefit will be calculated as if you had survived until that date. If you die after reaching age 55, this annuity is calculated as if you had retired and begun to receive a Qualified Joint and Survivor Annuity with 50% continuance on the day before your death.

Payments to your spouse under the qualified pre-retirement survivor annuity ordinarily begin as of the first day of the month when you would have reached age 65. However, your spouse may choose, in writing, to receive payments beginning in an earlier month. Payments before the date you would have reached age 65 are actuarially reduced unless you were eligible for an unreduced benefit at age 55 under the Rule-of-85. Your spouse may choose in writing to immediately receive a single sum equal to the present value of the qualified pre-retirement survivor annuity.

Special rules apply if you made employee contributions to the R&S Program. The benefit payable to your surviving spouse will not be less than (i) the annuity that would be payable to the surviving spouse if you had withdrawn your entire employee contribution account balance immediately prior to death, increased by (ii) the full value of your employee contributions account balance expressed in the form of an annuity. Your spouse may elect to (1) receive an annuity which includes the full value of those contributions or (2) receive a single sum refund of those contributions with interest, plus an annuity based on employer contributions only. Your spouse can agree to your designation of another beneficiary to receive a single sum payment of the employee contributions.

If you have designated a non-spousal beneficiary (with spousal consent), your beneficiary will receive a death benefit payable as a single life annuity beginning no later than December 31 immediately following the calendar year when you died. Your beneficiary can elect a single sum payment instead of a single life annuity. This death benefit will be actuarially equivalent to the benefit payable to the spouse.

In any of these situations, if the present value of the R&S Program benefits payable to your surviving spouse does not exceed $5,000, a single sum will be paid instead of an annuity.

VII-3. If I die before retirement and have not elected to start receiving my benefits, and contributions are not being made to the Program for me when I die, what will be paid to my beneficiary if I am not married?

If you die before electing to begin receiving your earned retirement benefit, and contributions are not being made for you at the time of your death, your beneficiary will receive a death benefit equal to the actuarial equivalent of the annuity that would be paid if you had a surviving spouse who was the same age as your beneficiary. Payments will be made in the form of a single life annuity and must start no later than December 31 following the year when you die or in the form of a lump sum payable no later than five years after your death.

Special rules apply if you have made employee contributions to the R&S Program. The benefit payable to your beneficiary will not be less than (i) the annuity that would be payable to the beneficiary had you withdrawn your entire employee contribution account balance immediately prior to death, increased by (ii) the full value of the employee contributions account balance expressed in the form of an annuity. Your beneficiary may elect to (1) receive an annuity which includes the full value of those contributions, or (2) receive a single sum refund of those contributions with interest, plus an annuity based on employer contributions only.

If the present value of the R&S Program benefits payable to your beneficiary does not exceed $5,000, a single sum will be paid instead of an annuity.

VII-4. How do I designate a beneficiary for my R&S Program benefits?

Request a beneficiary designation form from your employer or log onto My NTCA Benefits to designate your beneficiary. You must obtain spousal consent to designate a beneficiary that is not your spouse. You will complete the form to: (1) make an initial beneficiary designation or (2) change your beneficiary designation, including to someone other than your spouse. ***Designation of your spouse as your beneficiary will automatically become void upon divorce, unless otherwise provided for in a qualified domestic relations order***.

If a married Participant under age 35 wants to designate a non-spousal beneficiary for the full amount of the pre-retirement death benefit, they can do so with spousal consent, <u>but</u> this election will become invalid once they reach age 35. A Participant should update their beneficiary designation (with an updated spousal consent) once they reach age 35.

VII-5. How will my benefits be paid if I have not designated a beneficiary?

If you die without having designated a beneficiary, or if the designation of a beneficiary lapses or is not valid, the beneficiary or next-in-line beneficiary will be considered (in the following order):

- the remaining primary beneficiaries, equally;
- the remaining contingent beneficiaries, equally;
- your surviving spouse,
- your estate, if your estate is still open under state law;
- your children, per stirpes, equally; or
- your siblings, per stirpes, equally.

VII-6. How will my benefits be paid if my beneficiary dies before me?

If your beneficiary dies before you or dies after you but before receiving all amounts they are entitled to receive, the remaining amounts will be paid to the next-in-line beneficiary and not to a beneficiary of a beneficiary.

Section VIII
Death After Retirement

VIII-1. What benefits will be paid to my surviving spouse or other beneficiary if I die after retirement?

If you die after retirement benefits start, the benefits that are paid depend on the payment election you made when you retired.

- If you were married when you retired and chose to receive benefits in the form of a Qualified Joint and Survivor Annuity, benefits will be paid to your spouse (if your spouse survives you) based on the percentage of survivor benefits you chose.

- If your spouse does not survive you, no benefits will be paid following your death, unless you chose the Qualified Joint and Survivor Annuity with the guaranteed 10-years certain feature when you retired. In that case, your designated beneficiary will receive the balance of your benefit for the remainder of the 10-year period after your retirement or may elect to receive a single sum distribution.

- If you chose to receive benefits for 10-years certain and life thereafter and die before the 10-year period ends, benefits will be paid for the remainder of the period to your designated beneficiary. If you die after the 10-year period ends, no further benefits will be paid.

- Your surviving spouse or designated beneficiary may choose, in writing, to immediately receive a single sum equal to the present value of the remaining benefits payable under the Qualified Joint and Survivor Annuity or Qualified Joint and Survivor Annuity with 10-years certain.

- If you chose one of the Guaranteed Annuity options and you, and, if applicable, your spouse, die before the equivalent of the guaranteed single sum value has been distributed, the remaining difference will be paid to your beneficiary in a single sum. The single sum payment is determined by subtracting the total dollar amount of annuity payments actually paid to you, and, if applicable, to your spouse, without any actuarial adjustment, from the dollar amount of the guaranteed single sum value of your benefit.

- If you chose a single sum or the life only option, no additional benefits will be paid following your death.

Section IX
Program Administration, Amendment, And Termination

IX-1. What roles do the persons listed on pages two and three have in the R&S Program?

NTCA is a trade association representing rural telecommunications. It established the R&S Program in 1959 for the benefit of those members who want to adopt it to provide pensions for their employees.

NTCA is governed by a Board of Directors responsible for setting Association policy and direction on a wide variety of matters. The NTCA Board appoints the members of the Committee of the R&S Program. In addition, the NTCA Board is the only body legally authorized to change the Program Specifications or to terminate the entire Program.

The Committee is currently composed of eight individuals appointed by the NTCA Board. It has primary responsibility for a wide variety of matters affecting the R&S Program, including:

- recommending changes in the Specifications of the Program to the Board;
- interpreting the existing Program Specifications;
- making final decisions on claims for benefits;
- retaining experienced outside advisers in the areas of law, investment, and actuarial matters; and
- overseeing investment, funding, and administrative policy matters.

Services Management Corporation (SMC) is the Contract Administrator for the Program. Under a written agreement with the Committee, SMC does the day-to-day work of administering the Program. This work includes processing claims, distributing information to employers and Participants, complying with government requirements, and implementing NTCA Board and Committee decisions and policy. SMC has staff both in Arlington, Virginia, and in Asheville, North Carolina, with member relations managers located throughout the United States.

State Street Bank and Trust is the custodian of all assets in the R&S Program trust fund. In addition to accounting for Program assets and coordinating among the Program's outside investment managers, State Street Bank and Trust processes pension checks and other payments to Participants under the direction of SMC.

The Program's Agent for Service of Legal Process is noted on page three of this booklet. In addition, process may be served directly upon the Committee or upon SMC at its Arlington, Virginia address.

IX-2. What rights does an employer have to change or end its participation in the Program?

Many features of the Program are the same for all Participating Members and their Participants. The principal options available to employers are:

- Subject to certain requirements, including a minimum benefit formula, the employer decides on the desired benefit level and whether employees also must contribute in order to be credited with employer contributions, and whether to provide prior service benefits, benefits under the Rule-of-85, or Early Retirement Incentive benefits. To make a change to its elections, an employer must complete a new Adoption Agreement before the effective date of the change. In addition, the employer decides whether to impose a waiting period before an employee may participate in the Program, and what the rules are for contributions to the Program in the year of a non-highly compensated employee's retirement.

- An employer may change these elections (such as to reduce or increase contributions and related benefits), but only for service to be performed in the future. Your employer does not have the right to take away or reduce any benefits you have already earned. Also, if your employer should decide to reduce or stop its contributions, it must give employees and other affected parties 45-day advance written notice.

- An employer may end its participation in the Program by giving appropriate advance written notice to the Committee, employees, and other affected parties. Participants of an employer that withdraws from the R&S Program may have the value of their accrued benefit transferred to an annuity service provider, subject to procedures established by the Committee, or to a successor pension plan established by the withdrawing employer.

IX-3. How secure are pensions payable by the Program?

Pension benefits under the R&S Program are considered secure because:

- Federal law imposes certain minimum funding requirements on pension plans like the R&S Program. These requirements have consistently been satisfied through employer and Participant contributions determined under recognized actuarial standards.

- Pension benefits are insured by the Pension Benefit Guaranty Corporation ("PBGC") in the event that the <u>entire Program</u> terminates. The PBGC is a quasi-government agency established by Federal law to guarantee certain pension benefits.

  The PBGC guarantees vested benefits at the level in effect on the date of Program termination, but only up to a maximum benefit (adjusted periodically for inflation). For 2024, the maximum guaranteed pension benefit (payable as a single life annuity beginning at age 65 or later) is $7,107 per month. There are other limitations on PBGC guaranteed benefits. First, if benefits have been increased within five years before

Program termination, the full amount of vested benefits or of benefit increases may not be guaranteed. Second, PBGC does not guarantee certain benefits (such as pre-retirement death benefits). Finally, PBGC does not guarantee benefit amounts payable before age 65.

For more information on PBGC insurance protection and its limitations, contact the PBGC or visit the website at www.pbgc.gov. Inquiries to the PBGC should be addressed to the Office of Communications, PBGC, 1200 K Street NW, Suite 2121, Washington, D.C. 20005-4026. The PBGC's Office of Communications may also be reached by phone by calling (800) 400-7242.

IX-4. How will NTCA and SMC communicate with me?

Generally, NTCA and/or SMC will communicate with you either by mail, through your employer, by electronic communication such as e-mail, the internet, or through My NTCA Benefits.

Section X
Applying for Benefits and Obtaining Other Information About the Program

X-1. How do I apply for benefits?

If you are a current employee or a former employee whose last date of employment with your most recent employer is within the past 90 days, SMC will automatically send you a benefit estimate and distribution forms after your employer notifies us of your separation of employment. Alternatively, you may complete this process electronically on the NTCA Pension Point website, www.ntca.org/PensionPoint.

If you are a former employee who has not worked for your former employer for more than 90 days, you may complete this process electronically on the NTCA Pension Point website, www.ntca.org/PensionPoint or submit a written request to:

NTCA/SMC
30 Town Square Blvd., Suite 300
Asheville, NC 28803
828-281-9000
rs@ntca.org

SMC may have to obtain additional information from you or your employer to verify your eligibility, date of birth, final Compensation, or other information. Therefore, you should apply at least 60 days before the date you want your benefits to start.

X-2. What if I move after my pension payments start?

Notify SMC at its Asheville, North Carolina address using the information shown on page three and be sure to include the effective date of the change or log onto My NTCA Benefits to update your address.

If SMC cannot locate you when your benefit is payable to you, it will use available resources to try to locate you. After those resources have been exhausted and SMC still cannot locate you, your benefit may be forfeited until you or your beneficiary files a claim for benefits. At that time, your benefit will be restored, without any adjustment to reflect the delay in payment.

X-3. What actions can I take if my benefits are less than what I think I am entitled to receive or if I believe my rights under the Program have been violated?

You have the right to file a claim regarding any decision SMC makes or proposes to make or any action it takes or proposes to take which affects your benefit rights or any other rights under the R&S Program. To file a claim, you must submit it <u>in writing</u> within 90 days of the date of any decision or action you want reviewed; otherwise, your claim is considered to have been waived and abandoned. In your request, you should reference the specific decision or action being questioned and include a copy of any decision letter or form which transmitted the decision or notified you of the action. This claim should be directed to:

Vice President of Pension Services
NTCA/SMC
30 Town Square Blvd., Suite 300
Asheville, NC 28803

Ordinarily, you will receive a written response within 90 days after your claim is received (or within an additional period required by special circumstances, but not to exceed an additional 90 days, provided you receive written notice of the extension prior to the start of the extension). If you do not receive notice within this 90-day period (or, if applicable, 180-day period), your claim will be considered denied as of the last day of such period and you may request a review of the claim. If your claim is denied in whole or in part, your written notice will describe:

- the specific reason or reasons for the denial of the claim;
- the specific references to the pertinent R&S Program provisions on which the denial is based;
- a description of any additional material or information necessary to perfect the claim, and an explanation of why such material or information is necessary;
- an explanation of the R&S Program's claim review procedure; and
- an explanation if an adverse determination is made on review, you have a right to bring civil action under Section 502(a) of ERISA.

If your claim is denied in whole or in part and you wish further consideration of your claim, you or your authorized representative have the right to submit a written request to the Committee of the R&S Program for a full and fair review of the denied claim, to review documents pertinent to the denial, and to submit issues and comments in writing. You will be provided, upon request and free of charge, reasonable access to and copies of, all documents, records, and other information relevant to your claim. Detailed instructions on how to file a request for review will be included with the written response. Your request for review of the denied claim must be submitted within 60 days of your receipt of the written notice of the denial (or, if applicable, within 60 days after the date on which such denial is considered to have occurred). If you fail to request a review of your claim within this 60-day period, your claim is considered abandoned, and you cannot reassert the claim at a later date. If you request a review, your request must include a description of the issues and evidence you think are relevant. The failure to raise issues or present evidence on review will preclude those issues or evidence from being presented in subsequent proceeding or judicial review of your claim.

The Committee will make a final decision regarding your claim within 60 days after receipt of the written request for review (or within 120 days if special circumstances require an extension of time for processing the request, and if notice of such extension and circumstances is given to you in writing within the initial 60-day period). The decision on review will be in writing. If the decision on review is not made within such period, the claim will be considered denied. If you wish to bring a suit or legal action regarding the final decision on your claim, you must bring it within one year following the date of the final decision. The Committee has sole and absolute discretion and authority to interpret the terms of the Program, resolve ambiguities, and make all decisions regarding eligibility and entitlement to benefits and coverage.

This claim procedure applies to any alleged violation of, or any remedy sought under, ERISA.

X-4. What if the Program pays me or my beneficiary more benefits than we are entitled to receive?

The R&S Program has the right to recover payments made in error. In the event the Committee determines it has paid you or your beneficiary more than your earned benefit, it may request repayment of the excess amount and/or may recover the overpayment from future payments or other sources.

X-5. What are the tax considerations from my participation in the R&S Program?

Because the R&S Program is designed to qualify under IRS rules, employer contributions made on your behalf are not currently taxable. Payments from the Program (including payments made because a Participant's death) are fully taxable when you receive them except, if you made contributions to the Program, the portion related to your own contributions may be recovered tax free. The Custodial Trustee will notify you (and the IRS) of the taxable and non-taxable amounts by January 31 following the year in which a payment was made.

Additional tax rules may apply in certain situations. For example, some partial or single sum distributions may qualify for favorable tax treatment, such as a tax-free rollover to an IRA or qualified plan within 60 days of receipt or special "averaging". Other distributions may be subject to additional tax over the regular income tax. For example, "cash-outs" of R&S benefits paid to employees who have not attained age 55 are subject to an additional 10% tax if not rolled over.

Federal legislation provides that Participants who receive eligible rollover distributions from the R&S Program may request a "direct transfer" of the taxable portion of their distributions to an IRA or another qualified plan. Distributions of employee contributions, if certain conditions are met, may also be rolled over to an IRA, or to a qualified defined contribution plan or qualified defined benefit plan. Otherwise, there is a mandatory 20% Federal income tax withholding on the taxable amount.

Because the Federal tax laws are complex and state tax laws vary, employees and their beneficiaries should contact an accountant or other tax adviser for guidance. The Committee and Contract Administrator of the R&S Program do not provide legal or tax advice.

X-6. What documents will I receive from the R&S Program and how often will I receive them?

In addition to this Summary Plan Description, Participants should expect to receive the following other information:

- Annually, an active Participant will receive a "Personal Statement of Benefits". The statement will show the estimated retirement benefit earned as of the preceding December 31 but will not reflect potential additional top-heavy benefits the Participant may be entitled to when he terminates employment. In addition, if an employer requires employee contributions, the Personal Statement of Benefits will not reflect any additional earned minimum benefits.

- Annually, a Participant will receive a funding notice.

- By writing to SMC at the address shown in this Summary Plan Description, you may request and obtain (for a nominal cost to cover copying and postage):

    - a copy of the complete Annual Report (Form 5500) filed with the Employee Benefits Security Administration for the prior year;

    - a list of all employers that currently participate in the Program and their addresses;

    - a copy of the Program specifications currently in effect.

In addition, many of these items are available through your employer. If not, your employer can assist you in obtaining them. All the above items are also available for review during normal working hours at the SMC office in Arlington, Virginia.

If you are a union-represented employee and your benefits under this Program are subject to collective bargaining, you have a right to a copy of the contract (or an opportunity to review it). Please contact your employer for further information.

X-7. What other legal rights do I have as a Participant in the R&S Program?

As a Participant in the R&S Program, you are entitled to certain rights and protections under the Employee Retirement Income Security Act of 1974 ("ERISA"). ERISA provides that all Program Participants will be entitled to:

Prudent Actions by Program Fiduciaries
In addition to creating rights for Program Participants, ERISA imposes duties upon the people who are responsible for the operation of the employee benefit plan. The people who operate your Program, called "fiduciaries" of the Program, have a duty to do so prudently and in the interest of you and other Program Participants and beneficiaries. No one, including your employer, your union, or any other person, may fire you or otherwise discriminate against you in any way to prevent you from obtaining a pension benefit or exercising your rights under ERISA.

Enforce your rights

If your claim for a pension benefit is denied or ignored, in whole or in part, you have a right to know why this was done, to obtain copies of documents relating to the decision without charge, and to appeal any denial, all within certain time schedules.

Under ERISA, there are steps you can take to enforce the above rights. For instance, if you request a copy of Program documents or the latest annual report from the Program and do not receive them within 30 days, you may file suit in federal court. In such a case, the court may require the Program Administrator to provide the materials and pay you up to $110 a day until you receive the materials, unless the materials were not sent because of reasons beyond the control of the Program Administrator. If you have a claim for benefits that is denied or ignored, in whole or in part, you may file suit in a state or federal court. In addition, if you disagree with the Program's decision or lack thereof concerning the qualified status of a domestic relations order, you may file suit in federal court. If Program fiduciaries misuse the Program's money, or if you are discriminated against for asserting your rights, you may seek assistance from the U.S. Department of Labor, or you may file suit in a federal court. The court will decide who should pay court costs and legal fees. If you are successful, the court may order the person you have sued to pay these costs and fees. If you lose, the court may order you to pay these costs and fees, for example, if it finds your claim is frivolous.

Assistance with Your Questions
If you have any questions about the R&S Program, you should contact the Program Administrator. If you have any questions about this statement or about your rights under ERISA, or if you need assistance in obtaining documents from the Program Administrator, you should contact the nearest office of the Employee Benefits Security Administration, U.S. Department of Labor, listed in your telephone directory or online at www.dol.gov/ebsa/. Written inquiries may be addressed to Division of Technical Assistance and Inquiries, Employee Benefits Security Administration, U.S. Department of Labor, 200 Constitution Avenue N.W., Washington, D.C. 20210. You may also obtain certain public information about your rights and responsibilities under ERISA by calling the publications hotline of the Employee Benefits Security Administration at (866) 444-EBSA (3272).

Section XI

Examples of Benefit Calculations
(Also Refer to Section II)

Example 1: Assume Joseph L. Technician retires on April 1, 2025, at exactly age 65 from an employer with W-2 Compensation as its Compensation definition. Assume Joe's compensation history for recent years during which he has been a Participant in the NTCA Retirement & Security Program is:

Exhibit A

Year	Months of Participation	W2+ Compensation	Annualized Compensation
2016	12	$33,000	$33,000
2017	12	$34,500	$34,500
2018	12	$36,200	$36,200
2019	12	$39,150	$39,150
2020	12	$38,900	$38,900
2021	12	$41,000	<u>$41,000</u>
2022	12	$43,850	<u>$43,850</u>
2023	12	$44,800	<u>$44,800</u>
2024	12	$46,100	<u>$46,100</u>
2025	3	$12,600	<u>$50,400</u>

The five amounts underlined are Joe's five highest salaries in his last 10 years of participation prior to retirement. His current "High-5 Compensation" is the average of those five amounts (*i.e.,* $41,000, plus $43,850, plus $44,800, plus $46,100, plus $50,400 equals $226,150; that number divided by five is $45,230).

Assume the following table (Exhibit B) states the contributions made on Joe's behalf to fund retirement benefits; also assume his employer elects to fund contributions in his year of retirement <u>only</u> through the date his active employment ends.

Exhibit B

Year	Benefit Formula	Actuarial /Benefit Factor	Accrual	Running Total
2000	2.0%	0.2168	0.092251	0.092251
2001	2.0%	0.2168	0.092251	0.184502
2002	2.0%	0.2168	0.092251	0.276753
2003	2.0%	0.2168	0.092251	0.369004
2004	2.0%	0.2168	0.092251	0.461255
2005	2.0%	0.2168	0.092251	0.553506
2006	2.0%	0.2168	0.092251	0.645756
2007	2.0%	0.2168	0.092251	0.738007
2008	2.0%	0.2091	0.095648	0.833655
2009	2.0%	0.2091	0.095648	0.929303
2010	2.0%	0.2091	0.095648	1.024951
2011	2.0%	0.2091	0.095648	1.120599
2012	2.0%	0.2091	0.095648	1.216247
2013	2.0%	0.2091	0.095648	1.311895
2014	1.9%	0.1855	0.102426	1.414321
2015	1.9%	0.1855	0.102426	1.516747
2016	1.9%	0.1855	0.102426	1.619173
2017	1.8%	0.1531	0.117570	1.736743
2018	1.8%	0.1531	0.117570	1.854314
2019	1.8%	0.1531	0.117570	1.971884
2020	1.8%	0.1531	0.117570	2.089454
2021	1.8%	0.1531	0.117570	2.207024
2022	1.8%	0.1531	0.117570	2. 324594
2023	1.8%	0.1531	0.117570	2.442164
2024	1.8%	0.1531	0.117570	2.559734
2025	1.8%	0.1531	0.029393*	2.589127

*Reflects the three months of participation in 2025 before Joe retires.

As you can see from this illustration, Joe Technician became a Participant in the NTCA Retirement & Security Program on January 1, 2000, and has accumulated 2.589127 total accruals as of his retirement date.

Time Period	Accruals		Actuarial/ Benefit Factor		High 5 Compensation		Benefit
Pre 2008	.738007	x	0.2168	x	$45,230	=	$7,236.80
2008-2013	.573888	x	0.2091	x	$45,230	=	$5,427.60
2014-2016	.307278	x	0.1855	x	$45,230	=	$2,578.11
Post 2016	.969953	x	0.1531	x	$45,230	=	$6,716.65
	2.236417						$21,959.16

Joe’s annual benefit is $21,959.16 payable under the 10-years certain and life thereafter option. We will assume Joe wants to start receiving his pension as of the first day of the month when his 65th birthday occurs (April 1, 2025). Let's also assume that Joe is married when he retires, and he and his wife are the same age. His payment options are outlined in Exhibit C shown below.

Exhibit C

	Options	Adjustment Factor	Monthly Benefit
1.	Qualified Joint and Survivor Annuity with 50% Continuance	96.3%	$1,762.22
2.	Qualified Joint And Survivor Annuity with 75% Continuance	92.9%	$1,700.00
3.	Qualified Joint and Survivor Annuity with 100% Continuance	89.7%	$1,641.45
4.	Qualified Joint and Survivor Annuity with 50% Continuance and 10-years certain guaranteed (this could be 100%, as well	94.4%	$1,727.45
5.	Life Only	103.9%	$1,901.30

INDEX